

One of the best ways to learn about your financial life is to prepare your own tax return. If you've had your taxes prepared professionally in the past, use the records from that year to help guide you. If you've never done your own taxes, you may be surprised to learn how easy it is—especially if you use a good tax book or software package. But if you're dead set against doing it yourself, at least take the time to find a decent preparer.

If You Don't Use a Preparer

The general instruction book that the IRS produces is well written and easy to understand. You can download Publication 17, *Your Federal Income Tax*, from the IRS website (www.irs.gov). But because it's also 300 pages and free in the mail, it's cheaper to call 800-TAX-FORM and ask for a printed copy.

If you intend to itemize deductions, you should also invest in one of the big fat tax guides available in any bookstore. Some good ones are *J.K. Lasser's Your Income Tax*, *Taxes for Dummies*, and *The Ernst & Young Tax Guide*. Make sure you buy the correct book for the current year; you would use the 2011 guides to fill out your 2010 taxes. These books usually cost around \$15 and are well worth the expense—even if you use computer software to file online, the books provide useful tax planning tips.

RAPID RIP-OFFS

When David, a teacher in New York City, walked into a local tax preparation office, he had a suspicion he might qualify for a refund that year. He was right: The IRS owed him almost \$500. His tax preparer told him that he could file electronically and get his refund in a few weeks—or sign up for a special “rapid refund” program that would get his refund to him almost immediately. David jumped at the chance to get the money right away. But when his refund check arrived a few days later, he found that he had been charged \$35 for the extra speed.

What David didn't understand is that he had actually signed up for a **refund anticipation loan**. Many tax preparers offer these products to customers who are eager to get their refunds as quickly as possible. Basically, the preparer lends the customer the amount of